

Across the Tasman Sea, Australia deals with the unjustified dismissal paradox by excluding employees earning above a specified “high-income threshold” from the protection of its unfair dismissal laws. In New Zealand, a 2016 private members’ Bill tried to permit firms and high-income employees to contract out of the unjustified dismissal regime. However, the mechanisms proposed were unwieldy and the Bill was voted down following the change in government later that year.

36. The personal grievance provisions of the ERA are intended to _____.
A. punish dubious corporate practices
B. improve traditional hiring procedures
C. exempt employers from certain duties
D. protect the rights of ordinary workers
37. It can be learned from Paragraph 3 that the provisions may _____.
A. hinder business development
B. undermine managers’ authority
C. affect the public image of the firms
D. worsen labor-management relations
38. Which of the following measures would the Productivity Commission support?
A. Imposing reasonable wage restraints.
B. Enforcing employment protection laws.
C. Limiting the powers of business owners.
D. Dismissing poorly performing managers.
39. What might be an effect of ERA’S unjustified dismissal procedures?
A. Highly paid managers lose their jobs.
B. Employees suffer from salary cuts.
C. Society sees a rise in overall wellbeing.
D. Employers need to hire new staff.
40. It can be inferred that the “high-income threshold” in Australia _____.
A. has secured managers’ earnings